

CITATION: Tuffnail v. Meekes, 2016 ONSC 710
COURT FILE NO.: 3724-11
DATE: 2016/02/23

ONTARIO
SUPERIOR COURT OF JUSTICE

BETWEEN:

Gregory Alan Tuffnail, Patricia Diane
Tuffnail, David Alan Tuffnail and
Michael Alan Tuffnail

Plaintiffs

– and –

Steven Andrew Meekes, The Optimist
Club of Downie Inc., State Farm Mutual
Automobile Insurance, Tom Bolton, The
Corporation of Perth South and Doug
Hearn

Defendants

)
)
) The plaintiffs not appearing on the
) motion
)

)
) No one appearing, for the defendant
) Steven Meekes
)

) Douglas Wallace, for defendant The
) Optimist Club of Downie Inc.
)

) Bruce Mitchell, for defendant Tom
) Bolton
)

) Stephen Brogden, for defendant The
) Corporation of Perth South
)

) Richard Shaheen, for defendant Doug
) Hearn
)

) **HEARD:** December 7, 2015
)
)
)
)

RADY J.

Introduction

[1] Three of the defendants move for summary judgment dismissing this action and another against them. Every party, with the exception of the co-defendant Bolton, consents or is unopposed to the relief sought.

Background

- [2] This action and the companion arise from a single vehicle accident on September 13, 2009 in Oxford County. The vehicle was being driven by Steven Meekes. Gregory Tuffnail and Kristopher Petrie were passengers. The car left the road and collided with a tree. As a tragic result of the accident, Mr. Petrie was killed and Mr. Tuffnail alleges that he suffered significant injuries.
- [3] Two actions were commenced, one by Mr. Tuffnail, his mother, father and brother; and the other by Mr. Petrie's family.
- [4] The plaintiffs alleged that prior to the accident, Mssrs. Tuffnail, Petrie and Meekes attended a wedding reception hosted by Thomas Bolton at the Downie Optimist Community Centre located in the Hamlet of St. Paul's Station, Ontario. It was said that Mr. Meekes consumed alcohol at the reception and was intoxicated at the time of the accident.
- [5] Mr. Bolton had rented the community centre (the hall) for his reception and held a Special Occasion Liquor Licence Permit.
- [6] The lawsuits named Mr. Meekes and Mr. Bolton as defendants as the at-fault driver and liquor licence holder respectively.
- [7] The Corporation of the Township of Perth (the owner of the hall), The Optimist Club of Downie Inc. (the non-profit club that used the hall for its activities) and Douglas Hearn (the part-time hall manager) were also named as defendants on the basis that they were occupiers of the community centre or they over-served alcohol to Mr. Meekes.
- [8] Mr. Hearn was tasked with the rental of the hall to tenants for various social and charitable events. It is not clear from the evidentiary record whether he was an employee and if so, which of the township or the Optimist Club were his employer. The hall is not licensed to sell alcohol. Tenants who wish to do so must first obtain a liquor licence from the Liquor Control Board of Ontario on behalf of the Alcohol and Gaming Commission.
- [9] Mr. Bolton obtained a licence. He also hired and paid Steven Coulthard to serve alcohol at a cash bar. Mr. Coulthard was a Smart Serve Certified bartender. He was also an Optimist Club member and served as hall manager for the event. Mr. Coulthard has been named a third party by the defendants Mr. Hearn and State Farm (the latter being the underinsured coverage insurer in the Petrie claim.)

[10] As already noted, the parties with the exception of Mr. Bolton either consent or do not oppose an order dismissing the claim against the Township of Perth, the Optimist Club and Mr. Hearn.

[11] Before setting out the parties' respective positions, I set out below the relevant allegations in Mr. Bolton's crossclaim against the moving defendants for "contribution or indemnity in respect of any amounts the defendant pleading is required to pay to the plaintiff...":

24. The Defendant pleading states: that the Optimist Club of Downie Inc. and/or the Corporation of the Township of Perth South were negligent and/or in breach of their duty under the *Liquor Licence Act*, R.S.O. 1990, c.L.19; and that that negligence and/or breach caused or contributed to the September 13, 2009 accident in which Gregory Tuffnail alleges he was injured. Particulars of the negligence or breach of the Optimist Club of Downie Inc. and The Corporation of the Township of Perth South, include the following:

- (a) On September 12, 2009, it/they served alcohol to Steven Meekes and to Gregory Tuffnail the point of and beyond intoxication;
- (b) It/they served alcohol to Steven Meekes and to Gregory Tuffnail on September 12, 2009 after it knew or should have known that each of Steven Meekes and Gregory Tuffnail was intoxicated and was in danger of causing injury to himself and to other persons;
- (c) It/they failed to have a system in place to monitor the consumption of alcohol of persons on its premises or, in the alternative, it/they failed to implement and enforce such a system;
- (d) It/they failed to hire, train or supervise competent employees, servants or agents;
- (e) It/they failed to have a system in place to monitor its employees, servants or agents or, in the alternative, it/they failed to fully and properly implement and enforce such a system;
- (f) It/they breached the provisions of the *Liquor Licence Act*, R.S.O. 1990, c.L.19, in particular sections 29 and 39 thereof.

24.1 In arranging for the use of the Downie Optimist Community Centre for September 12-13, 2009, Tom Bolton met with Doug Hearn as a representative of the Optimist Club of Downie Inc. and/or of the Township of Perth South. Mr. Bolton entered into an agreement for the use of the Downie Optimist Community Centre with Doug Hearn as representative of the Optimist Club of Downie Inc. and/or the Township of Perth South.

25. The Defendant pleading states that he entered into an agreement with the Optimist Club of Downie Inc. and/or The Township of Perth South to rent the Downie Optimist Community Centre hall for the purpose of holding his wedding

reception on September 12, 2009. The Defendant pleading states that, by the terms of that agreement, the Optimist Club of Downie Inc. and/or The Township of Perth South required;

- (a) that he purchase a liquor licence for the reception;
- (b) that he hire a Smart Serve certified individual to serve alcoholic beverages at the Downie Optimist Community Centre Hall; and
- (c) that he have a member of the Optimist Club of Downie Inc. present throughout the event to act as a "Hall Manager".

25.1 Doug Hearn represented to Tom Bolton that only a member of the Optimist Club of Downie Inc. could serve as a "Hall Manager" in fulfilment of the term of Mr. Bolton's agreement with the Optimist Club of Downie Inc. and/or the Township.

26. Relying on Mr. Hearn's representations, the Defendant pleading states that he hired Steve Coulthard who is both Smart Serve certified and a member of the Optimist Club of Downie Inc. to satisfy the terms of the rental agreement with the Optimist Club of Downie Inc. and/or The Township of Perth.

27. In negotiating with Doug Hearn for the rental of the Downie Optimist Community Centre hall, the Defendant pleading specifically inquired about liability insurance for his use of the hall on September 12 and 13, 2009. The Defendant pleading relied on Mr. Hearn's representations that the hall was fully and properly insured and that the Defendant pleading need not purchase any additional insurance for his use of the hall on September 12 and 13, 2009.

27.1 In reliance on Mr. Hearn's representation, Mr. Bolton did not purchase additional liability insurance for his use of the Downie Optimist Community Centre on September 12 and 13, 2009.

28. At all material times, the Defendant pleading was an occupier of the Downie Optimist Community Centre hall pursuant to his agreement with the Optimist Club of Downie Inc. and/or The Township of Perth South and, as such, the Defendant pleading states that he was an insured under the policy of insurance issued to the Optimist Club of Downie Inc. and/or the policy of insurance issued to The Township of Perth South in respect of his use of the Downie Optimist Community Centre.

28.1 The Defendant pleading states that Douglas Hearn was negligent and/or in breach of contract and/or in breach of the provisions of the *Liquor Licence Act*, R.S.O. 1990, c.L.19. Particulars of the negligence and/or breaches of Douglas Hearn including the following:

- (a) He failed to ensure that a properly trained and experienced "Hall Manager" was present at the Downie Optimist Community Centre on September 12, 2009;

- (b) He failed to ensure that the Downie Optimist Community Centre had a system in place to properly train, supervise and monitor its Hall Managers, employees, servants or agents;
- (c) He failed to ensure that the Downie Optimist Community Centre had a system in place to monitor the consumption of alcohol of persons present at the Community Centre or, in the alternative, to ensure that the Downie Optimist Community Centre properly implemented and enforced such a system;
- (d) He failed to take any steps to ensure that, on September 12, 2009, Steven Meekes and Kristopher Petrie were not served and did not consume alcohol to the point of and beyond intoxication;
- (e) On September 12, 2009, he failed to ensure that Steven Meekes and Kristopher Petrie were not served and did not consume alcohol after he and the Downie Optimist Community Centre knew or ought to have known that each of Steven Meekes and Kristopher Petrie was intoxicated and was in danger of causing injury to himself and/or to other persons;
- (f) He failed to ensure that the Downie Optimist Community Center had a system in place to ensure that persons such as Steven Meekes who were known to be intoxicated did not drive a vehicle when such persons left the Downie Optimist Community Centre or, in the alternative, he failed to implement a properly enforce such a system;
- (g) He failed to monitor the quantity of alcohol he served to and consumed by Steven Meekes or Kristopher Petrie on September 12, 2009;
- (h) He permitted alcoholic beverages to be served to and consumed by Steven Meekes and Kristopher Petrie on September 12, 2009 after he knew or should have known that each of Steven Meekes and Kristopher Petrie was intoxicated and was in danger of causing injury to himself and to other persons;
- (i) He failed to ensure that Steven Meekes did not drive when he left the Downie Optimist Community Centre; and
- (j) He failed to warn Tom Bolton or Kristopher Petrie that Steven Meekes had become intoxicated. [underlining in original omitted]

[12] I believe that it is uncontroverted that Mr. Bolton is being defended by RBC Insurance under a policy with \$2 million limits and there are no coverage issues. The aggregate of the plaintiffs' claims totals \$8 million.

The Parties' Positions

[13] The Township of Perth South submits that it is not an occupier. It says that the claim is, at its core, based on over-service of alcohol. While it owned the hall, it

did not sell or serve alcohol at the reception and did not hire anyone to do so. It cannot therefore be found liable.

- [14] The Optimist Club submits that liability for the over-service of alcohol falls upon Mr. Bolton, as liquor licence holder. Because this is a commercial host case, the *Occupier's Liability Act* does not apply. Even if it did, the Optimist Club was not an occupier of the hall at the material time.
- [15] Mr. Hearn's submission echoes the foregoing. Because this is a commercial host case, the *Occupiers' Liability Act* does not apply and in any event, Mr. Hearn was not an occupier (which I believe is conceded by the responding party). Neither did he sell alcohol nor hire anyone to do so.
- [16] Mr. Bolton asserts that there is a genuine issue requiring a trial on the following issues:
1. Is Mr. Bolton an occupier of the hall?
 2. If so, is Mr. Bolton an additional insured under the liability policy issued to the Township of Perth South and/or the liability policy issued to the Optimist Club of Downie Inc. in respect of the hall?
 3. If Mr. Bolton is not an additional insured under either of the Township's liability policy or the Optimist Club's liability policy, then:
 - (i) did Mr. Hearn make representations to Mr. Bolton with respect to the insurance available for events at the hall?
 - (ii) were Mr. Hearn's representations "negligent misrepresentations"?
 4. Was Mr. Hearn employed by or contracted by either or both of the Township of Perth South and the Optimist Club as the manager of the hall?
 5. Is the Optimist Club and/or the Township of Perth South vicariously liable for Mr. Hearn's negligent misrepresentation?
 6. In the event Mr. Bolton is found to be liable to the plaintiffs in respect of their losses arising out of the September 13, 2009 accident, are Mr. Hearn, the Optimist Club and/or the Township of Perth South liable to indemnify Mr. Bolton as (i) additional occupiers of the hall?; (ii) as additional social or commercial hosts on the evening of September 12, 2009?; and/or (iii) in respect of any negligence or breach of contract or statutory duties?
- [17] I see nothing in the crossclaim alleging a breach of contract or that a special relationship existed between Mr. Bolton and the moving parties and in particular, Mr. Hearn.

The Law respecting summary judgment

- [18] Of course, the leading case on Rule 20 is *Hryniak v. Mauldin*, 2014 S.C.C. 7. The decision is well known and has been the subject of discussion in many cases and scholarly articles. Its principles are reasonably well settled. There is no genuine issue requiring a trial if the summary judgment process provides the evidence required to fairly and justly adjudicate the dispute in a timely, affordable and proportionate way.

Analysis:

1. The *Occupiers Liability Act*

- [19] The Act provides as follows:

1. In this Act,

“occupier” includes,

(a) a person who is in physical possession of premises, or

(b) a person who has responsibility for and control over the condition or the activities there carried on, or control over persons allowed to enter the premises...

3.(1) An occupier of premises owes a duty to take such care as in all the circumstances of the case is reasonable to see that persons entering on the premises, and the property brought on the premises by those persons are reasonably safe while on the premises.

- [20] The evidence is clear that the township had no day-to-day responsibility for or control over the hall. It is axiomatic that ownership is not synonymous with possession.

- [21] The decision in *MacDonald v. The Town of Goderich et al.*, [1949] O.R. 619 (C.A.) is dated but remains good law, and factually bears some similarity to this case. The plaintiff was injured at a skating rink owned by Goderich. The rink was operated by a lessee which entered into an arrangement with a third party to use the rink for hockey games. In its decision, the court held that the town could not be liable, because as a landlord not in possession, it owed no duty to third parties to ensure their safety on the premises. The court observed as follows:

Apart from any express contract to that effect, a landlord owes no duty, either towards his tenant or towards any other person who enters on the premises during the tenancy, to take care that the premises are safe either at the commencement of the tenancy or during its continuance...

The landlord's exemption from liability for dangers existing on premises in the occupation of his tenant extends not merely to injuries suffered by the tenant himself, but to those suffered by other persons entering on the premises during the tenancy. The lease transfers all obligations towards such persons from the landlord to the tenant.

This is so even if the landlord has by contract with the tenant taken upon himself the duty of keeping the premises in repair. Such a contract is *res inter alios acta*, and confers upon strangers no rights against the landlord which they would not have had without it.

[22] I see nothing in the *Occupiers' Liability Act* that disturbs or detracts from those comments.

[23] Similarly, in *Williamson v. Guitard*, [1993] N.B.J. No. 189 (Q.B.), the court relied on the *MacDonald* decision in a case involving a claim against both the owner and operator of a Shell gas station for personal injuries sustained in a slip and fall. The court concluded that Shell was not an occupier, notwithstanding its ownership of the premises and its responsibility for some of its maintenance. The plaintiff entered the premises as an invitee of the station operator and not Shell.

[24] Most recently, this principle was reiterated in *MacFadyen (Litigation Guardian of) v. MacFadyen (c.o.b. Tori's Trails)*, 2014 O.J. No. 5471 (S.C.J.). The court reasoned:

Ownership by itself does not create occupancy under the Act. Physical possession is not synonymous with ownership but involves more – usually a degree of physical presence on the property. Occasional physical presence may, depending on the circumstances, be insufficient to put an owner in physical possession within the meaning of the Act.

[25] Because the evidence demonstrates that the township was neither in possession nor had a physical presence at the hall, it follows that it cannot be an occupier. Similarly, on the occasion of the receptor, neither the Optimist Club nor Mr. Hearn were in possession of the hall, in control over its condition or the activities carried on there.

[26] However, even if I am incorrect in my conclusion, a reading of the relevant section of the *Occupiers' Liability Act* makes it clear it cannot be liable in the circumstances of this case. Section 3 of the Act provides that a duty of care exists to those entering the premises to ensure their reasonable safety while there. In this case, the accident occurred off the hall premises and therefore, the Act does not apply. Support for this conclusion is found in *Durling v. Sunrise Propane Energy Group Inc.*, [2013] O.J. No. 4465 (Div. Ct.). A series of propane explosions on the defendant's premises caused damage to the property of neighbouring residents.

The court held that the duty of care imposed by the Act does not extend to those off premises. This is dispositive of any claim made under the *Occupiers' Liability Act* as against the township as well as the Optimist Club and Mr. Hearn.

2. Liability for Over Service of Alcohol

- [27] Liability arises either at common law or by statute.
- [28] It is well settled that a commercial vendor of alcohol owes a duty of care to its patrons and to persons who may be expected to use the highway: *Jordan House Ltd. v. Menov*, [1974] S.C.R. 239; *Stewart v. Pettie*, [1995] 1 S.C.R. 131.
- [29] The issue of commercial host liability was discussed in *Childs v. Desormeaux* (2004), 71 O.R. (3d) 195 (C.A.); [2006 1 S.C.R. 643, both at the Ontario Court of Appeal and the Supreme Court of Canada (albeit in the context of social host liability). Writing for the Court of Appeal, Justice Weiler noted:
- [52]. . .[A] duty of care will be imposed on the commercial host where the host has served alcohol to a patron and knows or should know that a patron is intoxicated and about to drive. At that stage, the commercial host should reasonably foresee that his act in serving alcohol to a patron to the point of intoxication could result in an accident, unless he dissuades the patron from driving or ensures that the patron is in the care of a responsible person...
- [55]. . .A commercial host has a statutory obligation to monitor consumption of alcohol by patrons, but there will be no liability at common law if the host fails to do so in the absence of foreseeability that the patron will drive.
- [30] Ultimately, the Supreme Court of Canada drew a distinction between commercial and social hosts.
- [31] The Court of Appeal revisited the issue in *McIntyre v. Grigg*, [2006] O.J. No. 4420 (C.A.) explaining as follows:
- Commercial vendors of alcohol have an obligation to monitor a patron's consumption of alcohol and should have protocols in place to ensure that all reasonable precautions are taken to prevent such patrons who subsequently drive from becoming intoxicated to the point where they cannot safely operate motor vehicle. Moreover, a commercial host does not escape liability simply by not knowing that the patron became inebriated before driving; the commercial host is liable if it or its employees knew or ought reasonably to have known in the circumstances that the patron was in such a condition.
- [32] The essence of liability flows from the fact that the commercial host creates and controls the risk of harm to patrons and third parties.

[33] Liability is also imposed by statute. The *Liquor Licence Act*, R.S.O. 1990, c.L.19 provides as follows:

29. No person shall sell or supply liquor or permit liquor to be sold or supplied to any person who is or appears to be intoxicated.

39. The following rules apply if a person or an agent or employee of a person sells liquor to or for a person whose condition is such that the consumption of liquor would apparently intoxicate the person or increase the person's intoxication so that he or she would be in danger of causing injury to himself or herself or injury or damage to another person or the property of another person:

....

2. If the person to or for whom the liquor is sold causes injury or damage to another person or the property of another person while so intoxicated, the other person is entitled to recover an amount as compensation for the injury or damage from the person who or whose employee or agent sold the liquor.

[34] It is obvious that if liability exists, it rests upon the person selling the alcohol. In this province, the seller must be a liquor licence holder, who in this case was Mr. Bolton. There is no evidence that either the township, the Optimist Club or Mr. Hearn sold alcohol to anyone. Consequently, there is no genuine issue requiring a trial to determine liability under this heading.

3. Are the moving parties liable on some other basis?

[35] In my view, there is no genuine issue requiring a trial under this heading. The evidence in this case establishes that Mr. Hearn:

1. did not hold the liquor licence for the hall;
2. did not sell or serve alcohol at Mr. Bolton's wedding reception on September 12, 2009 or employ anyone to do so; and
3. acted within the scope of his employment duties (whoever his employer was), which did not require him to be responsible for:
 - i the selection, hiring, training, monitoring or supervision of the hall managers and/or bartenders and their assistants selling and serving alcohol at the hall, including at the Bolton reception;

- ii the invitation, monitoring, supervision or control of attendees at hall events, including the Bolton reception;
- iii the planning, organization or implementation of activities that occurred at hall events, including the Bolton reception; or
- iv the purchase and sale of alcohol at the Bolton reception.

[36] It is noteworthy that the Special Occasion Liquor Licence Permit included the following wording:

The Permit holder is legally responsible. Know your responsibilities, refer to the *Liquor Licence Act* and Regulations. The permit holder/responsible person as indicated on the permit/application must attend the event, if in an emergency the permit holder/responsible person is unable to attend, then the permit holder/responsible person must designate a person to attend. The permit holder/responsible person must obtain the person's written consent to the designation...

[37] This language accords with the responsibilities imposed on a permit holder under the regulations made under the *Liquor Licence Act*. See ss. 18(1), 36(1) and (2) of O.Reg. 389/91.

[38] The *Negligence Act*, R.S.O. 1990, c. N.1, provides as follows:

A tortfeasor may recover contribution and indemnity from any other tortfeasor who is, or would if sued have been, liable in respect of the damage to any person suffering damage as a result of a tort by settling with the person suffering such damage, and thereafter commencing or continuing action against such other tortfeasor...

[39] Because the moving parties cannot be found liable under the *Occupiers' Liability Act* or for over-service of alcohol (as the plaintiffs themselves must concede), they are not joint tortfeasors *vis-a-vis* Mr. Bolton. Put another way, because they could not be liable to the plaintiffs, they cannot be liable to Mr. Bolton.

[40] The issue of a negligent misrepresentation seems to be a red herring. Assuming Mr. Hearn made the representation alleged it is not causative of any loss and could not give rise to a finding of contribution and indemnity under the *Negligence Act*. Because neither the township nor the Optimist Club are liable either by statute or common law to the plaintiffs, it follows that their insurers would not be obliged to indemnify their insureds.

Disposition

[41] For these reasons, the moving parties are entitled to judgment dismissing Mr. Bolton's crossclaim against them. I will receive brief written submissions respecting costs first from the moving parties by March 11, 2016 and the respondents by March 24, 2016.

"Justice H. A. Rady"

Justice H. A. Rady

Released: February 23, 2016

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REASONS FOR JUDGMENT

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